

FORTUNA

Branch A — Index Options

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The first of the two book-level branches. Once the shared trunk (MAC / NAT / FLO / PRE / ENG) outputs the index-direction verdict, Branch A layers options intelligence on top of it to produce the actual index-options trade: strike + CE/PE + entry / exit + SL. Every item keeps a permanent old-ID alias (OPT-1 was G3) so references match across every document.

v01 — five OPT items researched to the trunk format: OPT-1 IV percentile / PCR (premium & crowding gate), OPT-2 max pain + OI walls (location / gravity), OPT-3 change-in-OI (intent / strike selection), OPT-4 expiry behaviour (day-type / timing), OPT-5 Greeks for the buyer (sizing / risk). This document references the v0.8 trunk rather than duplicating it — one source of truth.

What Branch A Consumes from the Trunk

Read the trunk first. Branch A **does not re-derive direction** — it inherits the trunk's verdict object and layers options intelligence to choose the instrument. Direction is one field it receives; on many days it reads *unknown* / *irrelevant* and Branch A still fully specifies a trade (or a sit-out) from premium, location, intent, timing and risk. The trunk lives in the Direction-Funnel document (v0.8) and is referenced by ID here.

The inherited verdict object

verdict = { **tradeable** · **day_type** · **direction** · **conviction** · **volatility_character** · **size** · **trap_risk** · **stop** } — produced by the trunk, consumed by Branch A.

Trunk → Branch A wiring

OPT item	Consumes from trunk	What Branch A adds
OPT-1 · IV %ile / PCR	PRE-1 India VIX	per-strike premium richness + crowding / IV-crush gate
OPT-2 · Max pain + walls	ENG-11 OI walls	expiry gravity + the writer-defended range (location)
OPT-3 · Change-in-OI	FLO-2 (EOD) · ENG-11	live intraday intent → strike selection
OPT-4 · Expiry behaviour	PRE-5 weekday map	DTE theta / gamma clock + intraday timing
OPT-5 · Greeks (buyer)	PRE-1 + NAT-1	sizing + the IV-crush veto + exit clock

The output. Branch A turns the inherited direction into a concrete order: **strike + CE/PE + entry + exit + SL**. It never overrides the trunk's direction — it decides *whether* to express it in options at all (premium gate), *where* (walls / max pain), *which strike* (intent + Greeks), *when* (expiry clock) and *how much* (Greeks sizing).



Branch A · Index options

Options intelligence on index direction -> strike + CE/PE · OPT-1..5

OPT-1 — IV Percentile / PCR

was G3 (PCR) · IV-percentile = new item · Branch A · Index options · consumes PRE-1

HEADLINE VERDICT

Two sentiment / premium gauges, neither a direction signal — the branch's premium-and-crowding gate, the OPT twin of PRE-1. IV percentile answers is premium cheap or expensive, buy vs sell, and how brutal IV-crush risk is — the buyer's single most important pre-trade check. PCR is a lagging, relative, contrarian-at-extremes gauge: near-useless in its mid-band and dangerous as a standalone trigger (the folk 'PCR > 1.2 = buy calls' is exactly the overfit to avoid). Score both as Gate / Context: they set size, trap_risk and premium context, never direction.

What job + does it affect direction?

IV percentile is a premium / regime gate (0 direction): high IV rank / pctl (80%+) = options expensive, favour selling; low (~10-20%) = cheap, favour buying. For a buyer it decides whether a directional bet can even pay off, since a correct call still loses if IV crushes. PCR is contrarian only at extremes and is explicitly not a timing tool — its honest use is a conviction filter on a price read, not a trigger.

Mechanism + the writer trap

High PCR (> 1.2) — 'more puts, bearish' — often acts as support because much index-put OI is just insurance / hedging, so the level misleads. PCR also compresses the whole chain into one number and hides where the writing sits — that 'where' is OPT-2's job. Read PCR as a trend vs its own recent range, OI-based not volume-based.

Skeptic's note

No magic thresholds; PCR is lagging and relative. Nifty typically 0.8-1.3; extremes > 1.3 / < 0.7 mark stretched positioning, > 1.8 / < 0.5 genuine capitulation — none are automatic signals. SEBI FY22-FY25: ~90-91% of F&O individuals net-lose — this gate exists to stop trades, not start them.

Signal strength

Sub-signal	Direction	Volatility	Trade stance	Note
IV %ile < 20 (cheap)	Gate	LOW	TRADE	Buying viable; pair with ENG-10 squeeze
IV %ile 60-80 (rich)	Gate	MED	CAUTION	Size down; prefer spreads over naked longs
IV %ile > 80 (expensive)	Gate	HIGH	AVOID	IV-crush risk; buying penalised even if right
Pre-event IV ramp	Gate	HIGH	AVOID	Buy before the ramp (ENG-10), never into it
PCR > 1.3 / < 0.7	Context	MED	CAUTION	Contrarian fade-warning, not an entry
PCR > 1.8 / < 0.5	Context	HIGH	TRADE	Genuine capitulation; needs price confirm
PCR mid 0.8-1.2	~0/noise	-	AVOID	No edge; do not read the level
PCR trend + price agree	Conv+	MED	TRADE	Multiplier only; never the trigger

Per-timeframe weight

Chart	Weight	Rationale
Monthly	Low	IV extremes = a Fortuna-Cash vol backdrop; PCR ~0.
Weekly	Mod	The week's premium-cost + crowding regime; feeds size.
Daily	High (gate)	Pre-open buy / sell / sit + size + IV-crush call.
1H / intraday	Gate (0 dir)	Conditions size + trap_risk; PCR trend only.

FORMAL RECOMMENDATION

Include IV percentile as the premium / IV-crush gate — a rolling 252-day percentile of ATM IV (not fixed bands) setting buy-vs-sell-vs-sit and size, flagging IV-crush trap_risk (couple NAT-1 / MAC-1), greenlighting cheap-premium buys with the ENG-10 squeeze; normalise per instrument. Include PCR as a contrarian-extreme + conviction filter only (OI-based, read as a trend). Drop the folk directional bands and volume-PCR standalone. OPT-1 sets the weather; it hands 'where is the writing' to OPT-2 and 'fresh intent' to OPT-3.

OPT-2 — Max Pain + OI Walls

was G4 · extends ENG-11 · Branch A · Index options

HEADLINE VERDICT

The location layer for the options book — where the market is likely to stall and gravitate, not which way it goes. Extends ENG-11 with the options view: the chain as a defended range (put wall = support, call wall = resistance) and a gravity point (max pain) that pulls in quiet expiries and is ignored on trend / news days. Honest reliability is modest and the academic case for pinning is genuinely mixed, so it scores Location / Gravity + trap_risk — the 'always pins to max pain' belief is the overfit to reject.

Max pain — gravity, not a magnet

The strike where buyers lose most / writers keep most. It drifts toward in quiet range-bound expiries and is ignored when real news moves the market; relevant only in the final sessions, near-useless early. Pins within ~100 pts only ~55-65% when conditions favour — and even that overstates it: pinning evidence is strongest for single stocks with concentrated OI, weaker for liquid indices (sometimes the index just finishes near max pain because OI clustered where price already was).

OI walls + the hand-off

Highest Call OI = call wall (writers profit if price closes below); highest Put OI = put wall (writers defend by adding). The range between is where writers expect price to hold. Walls are probabilistic — price either stalls or blows through, and which shows first as change-in-OI (OPT-3): total OI is the map, change-in-OI is the movement on it. Stops pile just beyond walls — this is your G8 / ENG-7 SL-hunt zone.

Distance + shift

Max pain near spot = a plausible pull; far = a big claim, unreliable. The one forward-looking edge: the direction max pain shifts intraday (rising = bullish repositioning) leads price — but that is change-in-OI in aggregate (wire once). OI resets every expiry; never carry yesterday's walls.

Signal strength

Sub-signal	Direction	Volatility	Trade stance	Note
Max pain near spot (quiet)	Location	LOW	TRADE	Gravity does little work; reliable
Max pain far from spot	~0	MED	AVOID	A 300-400 pt pull is a big claim; don't believe it
Max pain stable late	Location	LOW	TRADE	Stabilised early -> pinning more probable
Max-pain shift direction	Conv+	MED	TRADE	Rising = bullish reposition; leads price
Put wall (highest PE OI)	Location	MED	TRADE	Support; buy CE off it on reaction not touch
Call wall (highest CE OI)	Location	MED	TRADE	Resistance; don't target a CE past a fat wall
Broad OI plateau	Location	MED	CAUTION	A zone not a line; widen the stop
Trend / news day	~0	HIGH	AVOID	Catalyst overrides max pain; size for wrong

Per-timeframe weight

Chart	Weight	Rationale
Monthly	Mod	Monthly-expiry walls frame the bigger range.
Weekly	Mod-high	The weekly OI range is the week's battle-map.
Daily	High	Prior-close chain sets today's walls + gravity.
Intraday (expiry)	High	Live max pain + wall defend / break.
Intraday (non-expiry)	Low	Positions still building; too fluid.

FORMAL RECOMMENDATION

Include (with caveats) as the location + gravity layer extending ENG-11: OI walls for strike selection (don't target a CE past a fat call wall; buy off the put wall on reaction; walls = SL-hunt zones) and max pain as conditional expiry-gravity — weighted only near expiry, only when near spot and stabilising, off entirely on trend / news days. Use the max-pain-shift as a weak conviction lead. Reject 'always pins'; size for being wrong. Hands the hold-vs-break question to OPT-3.

OPT-3 — OI Buildup / Change-in-OI

was G6 · the intent read · Branch A · Index options

HEADLINE VERDICT

The live intent layer — if OPT-2's total OI is the map, change-in-OI is the movement on it: whether a wall is being reinforced (holds) or abandoned (breaks), and who is committing fresh money now. The most directionally-flavoured OPT item, but still an intent / conviction confirmer, not a standalone direction generator. Its deliverable is strike selection. The trap: the four-quadrant matrix is a futures framework — on the option chain read it writer-first, per side, or you invert the signal. It is the live intraday twin of FLO-2 (EOD).

The four states + the confirmer role

Long buildup (px up + OI up) = fresh longs, strongest bullish; short buildup (px dn + OI up) = fresh shorts; long unwinding (px dn + OI dn) = longs exiting, weak, often a bounce brewing; short covering (px up + OI dn) = a rally with no fresh buyers that fades fast. It confirms conviction behind a move already visible on price — positioning can diverge from price (a false rally), so confirm against price.

Writer-first — the whole edge

On the chain: call OI rising = call writing (resistance building, not bullish buyers); put OI rising = put writing (support building); call OI falling as price approaches = writers unwinding = the pre-breakout signature; put OI falling = support weakening. Confirm strength with the OI + volume grid (high vol + rising OI = strong; high vol + flat OI = churn; high vol + falling OI = level abandoned).

Timing + the opening-drive

First 30 min mixes overnight / rollover / MTM noise — wait for the 10:00-10:30 clean read; mid-session cleanest; final-hour churn is often mechanical square-off (check the opposite side). So in the 9:39-10:00 window, change-in-OI is context, not a trigger (the price candle is the trigger); it becomes a true signal on the ~10:10 re-entry, which lands in the clean window. It also computes OPT-2's max-pain shift.

Signal strength

Sub-signal	Direction	Volatility	Trade stance	Note
Long buildup (px up + OI up)	MED	MED	TRADE	Fresh longs; buy CE with-trend
Short buildup (px dn + OI up)	MED	MED	TRADE	Fresh shorts; buy PE with-trend
Fresh put writing at a strike	MED	LOW	TRADE	Support firming; floor CE stop here
Call-writer zone unwinding	MED	MED	TRADE	Pre-breakout signature; buy the break
Short covering (px up + OI dn)	LOW	MED	CAUTION	No fresh buyers; fades fast, don't chase
OI cluster (3-4 strikes)	MED	MED	TRADE	Institutional position; zone = conviction
Single-strike change	~0	MED	AVOID	A hint, not a trade
First-30-min change-in-OI	~0	HIGH	AVOID	Overnight / rollover noise; wait 10:00-10:30

Per-timeframe weight

Chart	Weight	Rationale
Monthly / Weekly	Low	Multi-day OI trend (overlaps FLO-2 EOD).
Daily	Mod	Prior-session change-in-OI biases the open.
Intraday (10:30->close)	High	Wall reinforce / abandon + strike selection.
Intraday (first 30m)	Near-zero	Noise; do not act.

FORMAL RECOMMENDATION

Include (strong, intraday) as the live intent layer, read writer-first per side: the four-quadrant buildup as a conviction confirmer (MED direction — highest of the OPT items, still a confirmer) and the wall reinforce-vs-abandon read answering OPT-2's hand-off. Deliverable = strike selection: buy toward strikes where opposing writers unwind, floor stops at fresh-writer defence, size on cluster (zone) signals with volume. Gate behind the 10:00-10:30 window; confirm against price (divergence = trap-warning).

OPT-4 — Expiry Behaviour

was G1 / G2 · consumes PRE-5 · Branch A · Index options

HEADLINE VERDICT

The weekday theta / gamma clock that turns the PRE-5 day-type map into concrete DTE-based strike and timing rules — a day-type + timing engine, never a direction call. The deterministic core (theta acceleration, gamma concentration) is trustworthy; the exact daily decay percentages are broker folk-numbers needing your own post-Sep-2025 backtest — trust the shape, verify the magnitude. Under Tuesday expiry this is where the 9:39-10:00 opening-drive gets formalised: that window is the 0DTE buyer's one structural edge.

The regime (verify vs NSE circulars)

Nifty weekly = Tuesday (from 1 Sep 2025); Nifty monthly = last Tuesday; BankNifty monthly-only (weeklies gone Nov 2024, last-Tuesday); Sensex weekly = Thursday (BSE). DTE counts trading days only; a Tuesday holiday shifts expiry to the prior session. Weekly theta curve for a buyer: Wed lightest but thin / low-vol, Thu buyer-friendliest, Fri accelerating (don't hold over the weekend), Mon heavy, Tue extreme (compresses into hours).

Gamma + theta shape

Gamma peaks ATM into expiry — a 0DTE ATM option is 2-3x more responsive than one 100 pts away, so small moves = outsized premium swings (the edge and the trap, since gamma fades off-ATM into failed breakouts). Theta is non-linear: an ATM option can lose 70-80% of remaining value between 1:00 and 3:00 PM; 9:30 theta is nothing like 2:30 theta.

The exit clock — the opening trade

On Tuesday the 10:00 exit is mandatory (afternoon theta is a cliff); on Wed-Thu (DTE 3-4) theta is light enough to trail a clean winner past 10:00 — same setup, different exit discipline by DTE. Strike by DTE: ATM or slightly-ITM into expiry; never OTM 0DTE (delta too low, theta too fast). Never buy into an RBI / Budget day in expiry week — event IV-crush overwhelms theta regardless of direction.

Signal strength

Sub-signal	Direction	Volatility	Trade stance	Note
Tue 0DTE 9:15-10:30 (AM)	Timing	HIGH	TRADE	Buyer's window; ORB / VWAP break; ATM only
Tue 0DTE 12-2 PM	Timing	LOW	AVOID	Theta grind / range; sellers' window
Tue 0DTE after 2 PM	Timing	V.HIGH	AVOID	Pin + MM games; spreads widen
Wed (DTE 4)	Day-type	LOW	CAUTION	Lightest theta but thin OI drift
Thu (DTE 3)	Day-type	MED	TRADE	Best buyer day; time value + mod theta
Mon (DTE 1)	Day-type	MED	CAUTION	Heavy theta; strong confirmed only
ATM strike (0DTE)	Strike	HIGH	TRADE	2-3x responsive; the only sane 0DTE buy
OTM strike (0DTE)	Strike	-	AVOID	Delta too low, theta too fast
Event IV-crush (expiry wk)	Trap	HIGH	AVOID	30-40% drop overwhelms theta (-> NAT-1)

Per-timeframe weight

Chart	Weight	Rationale
Monthly	Mod	Last-Tue monthly pin; BankNifty's only pin week.
Weekly	High	The weekday theta map is the weekly structure.
Daily	High	Which DTE today -> viability + strike + exit.
Intraday (Tue)	High	AM-window / dead-zone / PM-danger rules.
Intraday (Wed-Fri)	Mod	Lighter theta -> room to trail past 10:00.

FORMAL RECOMMENDATION

Include (strong, timing / day-type) as the branch's DTE clock consuming PRE-5: day-type viability (Thu best, Wed thin, Mon heavy, Tue AM-only), strike-by-DTE (ATM / slightly-ITM into expiry, never OTM 0DTE), and the intraday timing rules (9:30-10:30 buyer's window, midday dead zone, post-2 PM danger) with the exit clock hardening as DTE -> 0 (mandatory 10:00 exit Tuesday, trailing allowed Wed-Thu). Flag pin-risk + event IV-crush as trap_risk (couple OPT-2, NAT-1 / OPT-1). Backtest every magnitude on post-Sep-2025 data.

OPT-5 — Greeks for the Buyer

was new · consumes PRE-1 + NAT-1 · Branch A · Index options

HEADLINE VERDICT

The options-risk backbone — the OPT twin of ENG-9 (ATR): pure sizing / risk plumbing, zero direction, but the machinery every other OPT item runs on. Delta = strike dial + rough probability; gamma = the expiry-day acceleration behind the 9:39-10:00 window (and the reversal that traps a fake break); theta = the rent that makes buying a race against time; vega = the engine of IV-crush. The buyer's honest frame: you need the move big enough, fast enough, right direction, with vol cooperating, before theta eats the premium. OPT-5 picks no side — it decides which strike, how many lots, and whether the trade can survive.

The four Greeks, buyer's lens

Delta: ATM ~0.5 (~50% ITM odds); ITM ~0.6-0.8 tracks the index (the directional buyer's friend); far-OTM ~0.1 barely moves and bleeds fastest. Gamma: highest ATM near expiry (0DTE delta swings 0.2 -> 0.8 in minutes) — rewards a real break, punishes a fake one as it fades off-ATM. Theta: always negative for buyers, exponential into expiry, compresses into hours on Tuesday; ITM decays slower (intrinsic protected). Vega: positive for all longs, ~0 on 0DTE; buy low IV, avoid buying high IV (post-event crush of 30-50% works vega against you).

Watch it at entry, not tick-by-tick

Greeks are a pre-trade checklist and a set of exit rules, not a live screen. Pick the strike by delta and run the IV-crush veto (vega x OPT-1 IV %ile x NAT-1 events) BEFORE entry; after that, watch price — delta, gamma and theta are already baked into how the premium moves. In Fortuna, OPT-5 is background plumbing: the app computes delta / vega and flags crush risk at entry, so a 20-minute trade never becomes four Greek numbers to babysit.

The strike + veto this produces

ATM to slightly-ITM (delta ~0.5-0.7) for directional intraday; slightly-ITM as the theta shield in expiry week; ATM-only on 0DTE for the gamma; never far-OTM intraday. When IV %ile is high or an event looms, switch to a debit spread (buy ATM + sell OTM) to cut vega / theta while keeping delta. Size by net delta with a theta-burn cap (< ~0.5% / day of capital). Per-instrument — BankNifty Greeks are larger than Nifty.

Signal strength

Sub-signal	Direction	Volatility	Trade stance	Note
ATM / slightly-ITM (delta 0.5-0.7)	0	MED	TRADE	Best directional-buyer balance
Far-OTM low delta (< 0.3)	0	-	AVOID	Slow + fastest %-theta bleed
High gamma (ATM, expiry)	0	HIGH	TRADE	Powers the AM drive; exit before it reverses
Gamma fade off-ATM	0	MED	CAUTION	Failed-breakout engine; why chases die
High Vega + high IV %ile	0	HIGH	AVOID	Crush risk; use a debit spread to cut vega
Low Vega + low IV %ile	0	LOW	TRADE	Cheap premium; a vol spike pays you
ITM theta shield	0	MED	TRADE	Intrinsic doesn't decay; expiry-week hedge
Net-delta position size	0	-	CAUTION	Cap lots; theta burn < ~0.5% / day

Per-timeframe weight

Chart	Weight	Rationale
Monthly / Weekly	Infra	Vega + theta frame which strikes are buyable.
Daily	Infra	Strike-by-delta + theta-burn budget.
Intraday	Infra (high)	Live strike / size / exit machinery.
Directional weight	Zero	Substrate for OPT-1 / OPT-4 + sizing (like ATR).

FORMAL RECOMMENDATION

Include (infrastructure) as the sizing / risk backbone, the OPT twin of ENG-9: zero directional weight, but the machinery that selects the strike by delta, sizes by net delta + a theta-burn cap, runs the vega / IV-crush veto (consuming PRE-1 / OPT-1 + NAT-1; debit spread when vega is dangerous), and governs hold / exit via gamma-fade + the theta cliff (hard 10:00 exit Tuesday, per OPT-4). Track standardised, per-instrument Greeks. It picks no side — it decides which strike, how many lots, and whether the trade survives.

Branch A — The Morning Options Playbook

How the five OPT items chain — gate-first, mirroring the trunk. The trunk hands over the index-direction verdict; Branch A turns it into strike + CE/PE + entry / exit + SL.

#	Stage	Question	OPT items	Action
1	Premium gate	Is premium buyable today?	OPT-1 IV %ile (+ PRE-1 VIX)	High IV %ile / pre-event -> don't buy or use a spread
2	Crowding	Positioning stretched?	OPT-1 PCR	Extreme = contrarian warn; otherwise conviction only
3	Location	Where do moves stall?	OPT-2 max pain + walls (ENG-11)	Buy toward the far wall; stop beyond the near wall
4	Intent	Wall holding or breaking?	OPT-3 change-in-OI	Fresh writing defends; unwinding = the break
5	Timing / day-type	Which DTE, which window?	OPT-4 expiry (+ PRE-5)	Tue AM only + hard 10:00 exit; Thu = best buyer day
6	Strike + size + exit	Which strike, how many, when out?	OPT-5 Greeks	ATM / ITM delta; theta cap; vega veto; gamma exit

THE OUTPUT. verdict (from the trunk) -> **strike + CE/PE + entry** (9:30-9:45 with-trend trigger) + **exit** (VWAP / structure SL + the theta clock) + **SL**. Direction comes from the trunk; Branch A never re-derives it — it decides whether, where, which strike, when and how much.

Greeks are plumbing, not a live screen

For a fast opening-drive trade, do **not** watch the Greeks tick-by-tick — that is noise that pulls your eyes off the price candle (your real trigger). Use them at **two fixed moments**: at entry (pick the strike by delta; run the IV-crush veto — vega x OPT-1 x NAT-1), and as exit rules (gamma-fade + the theta cliff = get out; hard 10:00 on Tuesday). In Fortuna, OPT-5 runs as background plumbing — the app computes delta / vega and flags the crush risk for you at entry, so a 20-minute trade never becomes four Greek numbers to babysit. Check the strike + crush once, then watch price.

Worked example — the opening-drive (Tue 0DTE, bull cascade, no event). OPT-1 IV %ile normal -> buying OK, crush clear. OPT-2 clear air to the call wall -> room to run. OPT-3 put-writing firming below (support real) + call-writers unwinding above (break brewing). OPT-4 buy the 9:39 ATM CE on the green-candle break; hard 10:00 exit (theta cliff). OPT-5 ATM delta ~0.5, gamma tailwind. If instead OPT-3 shows only short-covering, expect the push to die by 10:00 — take the exit, don't trail.

Branch A · OPT Tracker

Branch order · new IDs · job / direction rollup. Y = include, Y* = include with caveats. Gate / Location / Intent / Timing / Infra = non-directional roles.

ID	Was	Item	Real job	Dir	Incl.
OPT-1	G3	IV percentile / PCR	Premium & crowding gate	0	Y*
OPT-2	G4	Max pain + OI walls	Location / gravity	0	Y*
OPT-3	G6	Change-in-OI	Intent / strike select	MED	Y
OPT-4	G1/G2	Expiry behaviour	Day-type / timing	0	Y
OPT-5	new	Greeks (buyer)	Sizing / risk (infra)	0	Y

5 of 5 Branch A items researched. Direction comes from the trunk; four of five OPT items add zero direction and instead answer premium, location, timing and sizing — OPT-3 is the only one with a directional lean, and even that is a confirmer. Output object: **strike + CE/PE + entry / exit + SL**. Next: Branch B (STK) in Document B (Fortuna-Cash), which inherits this index direction as its first filter; and Track B module specs (I-4 Options Intelligence Engine) that implement OPT-1..5.

DOCUMENT ENDS HERE

Additional Considerations — Trading with Spreads

Optional — not a sixth OPT item. The core funnel is complete at five. This appendix covers one optional trade *structure* that changes only the instrument at the OPT-5 step. Everything upstream — direction from the trunk, location (OPT-2), intent (OPT-3), timing (OPT-4) — is unchanged.

The one-line contrast

Today, when IV-crush is in play, the funnel resolves to AVOID or SIZE DOWN — it keeps you out. A debit spread converts *sit out* into *participate with the crush neutralised*. That is the whole reason to add it: it lets you trade the days you currently skip — especially news days.

Current decisions when IV-crush is in play — both paths

So you can see both options side by side. The default stays AVOID; the spread is the participate-anyway alternative.

Situation	Current default (no spread)	Spread alternative
High IV %ile (~80%+) · OPT-1 gate	AVOID naked buy / size down	Debit spread: keep the directional view, crush neutralised
Pre-event IV ramp · NAT-1 flag	Sit out, or buy the ENG-10 squeeze early before the ramp	Debit spread into the event; defined risk
Event day (RBI / Budget / results)	No-trade / caution; wait for post-announcement	Spread after direction confirms — the news-buying path
Expiry-week rich premium + high vega	AVOID naked (theta + crush compound)	Spread cuts vega + theta; still respect the Tue clock
Extreme turbulence (VIX > 25)	Stand aside	Still stand aside — a spread is not a chaos hedge

What a debit spread does

Buy the directional leg (ATM) and sell a further-OTM leg on the same side — a bull call spread for up, a bear put spread for down. The sold leg pays for most of the vega and theta of the bought leg, so the position survives an IV-crush that would gut a naked long, while keeping most of the delta (direction). It is still a net buy (net debit), so it fits the manual-buyer workflow — just with a built-in hedge leg.

News / event buying — the path you want

On RBI, Budget and results days IV ramps, then crushes 30-50% the moment the outcome is known — which is why a naked long can lose even when the direction is right. The debit spread is how you take a directional news view without the crush deciding the trade. Sequence: let the trunk / NAT-1 flag the event and stay two-sided before it; do NOT buy the 9:15 print or pre-announcement; wait for direction to confirm after the statement (RBI ~10 AM, Budget ~11 AM, results per the calendar); then express it as a spread, not a naked long. If a squeeze is already loading (ENG-10) you can alternatively buy cheap premium early, before IV inflates. Location (OPT-2) and intent (OPT-3) still pick the strikes.

The trade-off — when NOT to spread

A spread caps your maximum profit (the sold leg is the price of the crush protection) and doubles the legs, so costs and slippage are higher. That only pays off when premium is genuinely expensive. When premium is cheap (low IV %ile, quiet day, your normal 9:39-10:00 drive), a naked long is better — a spread would cap the upside for no benefit.

Decision rule. Cheap premium / normal day -> **naked long** (the default). Expensive premium / a news day you want to trade -> **debit spread**. Extreme chaos (VIX > 25) -> **still sit out**. The spread widens what you can trade; it does not replace the AVOID decision — it sits beside it.